AI Has A Hidden Debt Problem

Podcast: prof G markets

AI Executive Summary

Core Thesis The episode explores the mounting systemic risks embedded in the current AI expansion, specifically focusing on a massive wave of "hidden" off-balance-sheet debt being used by Big Tech to fund infrastructure. Through detailed analyses of recent earnings from Tesla and Alphabet (Google), the discussion highlights a growing tension between aggressive capital expenditure for future technologies (AI and robotics) and the immediate reality of eroding profit margins, negative free cash flow, and an increasingly competitive global landscape.

Key Arguments & Data

- **The "Hidden" AI Debt Crisis:**
    - **Unreported Liabilities:** An investigation by Nikkei Asia suggests five tech giants—Alphabet, Microsoft, Amazon, Meta, and Oracle—are carrying approximately $1.65 trillion in debt that does not appear on their primary balance sheets.
    - **Mechanics of Obfuscation:** Companies are utilizing Special Purpose Vehicles (SPVs) or Variable Interest Entities (VIEs) to finance data centers. This allows them to build massive infrastructure without the debt appearing as a direct liability, effectively transferring much of the risk to external investors.
    - **Systemic Risk to Pensions/Insurance:** These SPVs are largely funded through "private credit," which includes capital from pension funds, insurance companies, and retirement funds.
    - **The Revenue Gap:** There is a significant discrepancy between projected infrastructure needs and actual demand. To service the debt on planned 130-gigawatt IT loads, an estimated $1.68 trillion in annual compute revenue is required—a figure that far exceeds the current global software industry's total revenue (less than $800 billion).
    - **Asset Depreciation:** Unlike traditional real estate, data center assets consist of rapidly depreciating GPUs; if AI demand fails to

meet "hype-driven" projections, investors in these SPVs have little recourse.

- **Tesla’s Performance and Strategic Vulnerability:**
    - **Financial Declines:** Despite a 26% year-over-year revenue increase, Tesla's profits fell by 5%, and free cash flow dropped into the red at -$1.1 billion for the quarter. _**Market Position:** Tesla is facing declining market share as the broader EV market grows faster than Tesla’s specific sales volumes; the current product lineup (Model 3/Y) is aging and lacks significant innovation.
    - **The "Robotics" Bet:** Investors are banking on "Robotaxis" and "Optimus" (humanoid robots) to drive future growth. However, critics argue that Tesla faces massive hurdles in supply chain execution, the loss of key engineering talent to competitors, and the immense operational complexity of a ride-hailing business.
- **Alphabet (Google) Growth vs. Cash Flow Strain:**
    - **Explosive Cloud Growth:** Alphabet's cloud revenue surged 82% year-over-year, and Gemini AI monthly active users grew by 27%.
    - **The Cost of AI Re-architecture:** The aggressive push into AI has caused Alphabet’s free cash flow to swing into negative territory (-$5.9 billion). Capital expenditure (CapEx) guidance for 2026 has been raised significantly to $205 billion.
    - **Competitive Landscape:** While Alphabet is successfully re-architecting its business to avoid being "left for dead" by AI, the high cost of this transition creates a window of vulnerability that less disciplined competitors might exploit.

Actionable Takeaways

- **For Institutional & Retail Investors:**
    - **Scrutinize Off-Balance Sheet Entities:** Do not rely solely on reported debt figures for major tech holdings; investigate the use

of SPVs and variable interest entities, as these contain the true scale of leverage in the AI sector.
    - **Monitor Private Credit Exposure:** Evaluate the health of pension and insurance funds, as they are heavily exposed to the "shadow banking" system that is currently underwriting unproven AI infrastructure.
- **For Tech Sector Analysts:**
    - **Watch Talent Migration:** For companies like Tesla, monitor engineer attrition rates; a loss of specialized talent is a leading indicator of a failure to execute on high-complexity projects like robotics.
    - **Track CapEx vs. Revenue Realization:** Monitor the gap between capital expenditures (building data centers) and realized cloud/compute revenue. A widening gap suggests a potential "AI bubble" burst.
- **For Macroeconomic Watchers:**
    - **Observe the Energy-Compute Nexus:** Keep a close eye on energy demand and power infrastructure (gigawatt loads), as the sustainability of the AI boom is tethered to the ability to provide massive, consistent electricity to depreciating hardware.

Full Transcript

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finding every app your team uses, scoring the risk and drafting fixes for you. Vantor is the platform used by over 16,000 fast-moving companies like Cursor, Atlassian and SuperBase, who are shaping the future with AI and staying ahead of AI risk. Get started at Vantor.com. What's behind Ukraine's military shakeup? The Ukrainians have now surpassed the United States military and basically every other military on the planet in terms of doctrine for how to fight and integrate these autonomous systems on the battlefield, and we should be learning from them. I'm John Finer. And I'm Jake Sullivan, and we're the hosts of The Long Game, a weekly national security podcast. This week, we're breaking down the dismissal of Ukraine's defense minister, the architect of their drone strategy. The episode's out now. Search for and follow The Long Game wherever you get your podcasts.

Welcome to Prodigy Markets. I'm Ed Elson. It is July 23rd. Let's check in on yesterday's market vitals. The S&P 500 and the Nasdaq declined. The Dow was flat. Print crude climbed above 95 per barrel.

for the first time in nearly six weeks as both the US and Iran escalated their attacks. The yield on 10 year treasuries increased. And finally, Google and Tesla shares fell after both companies reported earnings. We will get into

those reports later. Okay. What else is happening? The big AI spenders are increasingly turning to debt. And a lot of it turns out to be hidden. A Nikkei Asia investigation found that five tech giants, Alphabet, Microsoft, Amazon, Meta and Oracle, are carrying roughly 1.65 trillion in debt that doesn't show up on their balance sheets. That's more than the 1.35 trillion they actually report, meaning the debt we can't see is now bigger than the debt we can.

Meta's off-balance sheet debt is roughly three times its reported debt, and Oracle's has ballooned about 30-fold in four years. It's all legal, but it raises one big question. What happens if AI demand isn't as strong as investors are betting? Joining us to discuss this question, we're speaking with Ed Zittron, author of the Where's Your Ed at newsletter and host of the Better Offline podcast, Ed. Thank you for joining us. I just want to give you some context. Yesterday, I was talking about Oracle on this show and I was talking about how they're increasingly relying on debt to finance their data centers and how it's becoming kind of borderline unmanageable. And that's why their credit rating is getting downgraded and their borrowing costs are exploding.

kind of being sent into this downward spiral. Up until this point, though, it has been my understanding that the debt in the AI ecosystem has been relatively contained to a handful of companies like Oracle, but that it hadn't infected the bigger names, which is why I was so alarmed to see this reporting from Nikkei, which says there's 1.7 trillion of hidden debt that we haven't been seeing, that we haven't been looking at. You've just written a huge piece on this. You investigated these numbers. You did a sweeping analysis of all of this. What do we know about debt in AI? And how is it that so much of it appears to be hidden? So there are several factors here with the hyperscalers. The reason they're able to do that is because they found this interesting accounting treatment. The Ernst & Young claim is a red flag in Meta's case where when you build a data center, it's not like you as the company say, I'm going to buy all the stuff. I'm going to get the debt for this. And here we go. They make a special purpose vehicle or a variable interest entity, which is basically an SPV where you don't own as much. So for example, with Hyperion.

I think investors like PIMCO and Blue Owl own 80% of it and Meta only owns 20% of it. Despite Meta being the only client, the person that's going to fill it full of GPUs as well, I think, I think they're moving some across their assets, despite them being the obvious, despite Meta announcing it and saying, this is our data center because they don't have full ownership of it. It's not counted as something they put on their balance sheet. They will have it, I think, within operating leases when it starts paying. But the thing is, This is the entire AI data center industry. Every one of them are these SPVs that people pull money into. The SPV owns the debt. The SPV often owns a lot of the risk, though through non-recourse loans, which means that technically you have to go after the assets of the SPV before you go after the company. But nevertheless, these things own the risk. They own the GPUs. They pay investors not out of anything other than the revenues from the data centers.

which leads to the important point of what happens if the revenue for the data center isn't there? How do investors get made whole? And the answer is they do not. And the only reason this is not considered a problem yet is it hasn't actually happened like the data centers have not been built at the scale that would have to happen for the revenue not to flow in. What actually is an SPV? And this is important because you say that these data center SPVs are the AI bubbles equivalent of CDOs, which of course were the financial instruments that basically sparked the great financial crisis. You say that that is our equivalent today. So what actually is an SPV and why are they so popular? So to be clear, a CDO is slightly different. It's holding mortgage bonds and stuff, but they are the same kind of financial instrument that will cause genuine harm to the markets in the world. So an SPV is basically a company. It's a company. It has People are people that technically on the board of directors you can do that but really it's just a holding entity for money and stuff and so when they build a data center that SPV raises the debt that SPV holds the debt that SPV buys the GPUs it builds the data center and when the money flows into it the SPV is the one that pays out to contractors that pays the OPEX costs and there's a cash water for even where it goes paying OPEX paying investors and then paying Paying the people that own it in theory if there's more money than there should be that is not going to happen But nevertheless these things are so dangerous because they are being sold a stable infrastructure like

commercial real estate or Residentials and just saying oh, it's physical land. It's good. It's great But the problem is, and the critical difference, is that data centers are nothing like a regular mortgage and they're nothing like commercial real estate. These are complex financial operations, both in the construction and the ongoing costs. And then there's the important thing of, you need revenue to actually get paid out of them. And because they're all project financing, which just means they exist to finance a project, there is no other money for them to pay people out unless, like the company on the other end, a core weaving oracle or what have you, Isn't on the hook for those payments basically the client is and if the client is say, I don't know open AI and can't afford to pay it then investors who have invested in these spvs Well, they're kind of shit out of luck and the problem is when I say investors I mean Anyone who's involved in private credit right now and private credit is well funded is from sure get into by pensions, retirement funds, insurance funds, teachers pensions, cops pensions, all this different stuff. We are all involved in private credit whether we want to or not.

I just want to read you a quote from Amanda Yacone of Bloomberg, and you quoted this in your piece. She made this comparison to Enron. She said, quote, Enron exploited US accounting rules to hide from investors and lenders hundreds of millions in debt. It had bundled into off-balance sheet entities, obligations that contributed to one of the biggest corporate collapses in US history. And what you are describing right now is that there is a trend among the big tech companies, Metta, Microsoft, Amazon, Google, Oracle, they are creating these shell entities, these SPVs, seemingly to hide literally hundreds of billions of dollars of debt that they are issuing in order to finance their data centers. In other words, they're showing us in their reporting and in their earnings, like here's everything we've built, but then they're hiding all of the borrowing that they took on to build all those things that they're kind of bragging about in their reporting. That does seem to be a very, very similar link. I guess could you expand on that, on how this has come to be and potentially how this might unravel? So I want to be clear that other than Oracle, I don't think these companies die.

But I will say, it's kind of hard that Nick A piece, it wasn't clear if they were saying there was 300 billion or 1.6 trillion dollars of hidden debt. It was a very weirdly written piece, but let's say it's a trillion or so of off-balance

sheet debt. That means that there's a trillion dollars in loans. that we just don't, we actually cannot really quantify outside of media reporting. But I must be clear, it's not just hyperscalers doing it, it's CoreWeave, it's Iron, it's Nebius, it's NVIDIA in some cases, it's whoever is building a data center is using these shell corporations as a means of obfuscating ownership and also obfuscating risk as in basically handing off the risk to investors. And even though there are some that are recourse loans, even if there's a up the chain, you could eventually sue the company.

At that point, you would have sold off all the GPUs, so you'd be screwed either way. But the larger point is, yeah, this is a corporate scandal. This is a huge scandal. This should be front page news everywhere. This should be a shareholder riot. But because we live, as you put it well on my show, in this cult of worshiping the wealthy, we just kind of put it to the side. This is a significant risk to these companies, though. This is a real, like Google, we're talking just as Google's earnings came out. They narrowly missed on search revenue. Their other businesses are slowing down. It's happening across the board. So their businesses are going to slow down just as these massive debts creep up. And let's say they have ways of getting out of these things. The investors will still be screwed. The investors involved will still be screwed. And if they cancel these projects, I imagine they'll pay off investors to a point, but anyone involved is going to take a loss.

And then this spreads out that these are the good news. The fact that the hyperscalers have these, these are the good SPVs. These are the ones that I think might survive. The problem is every single data center is through an SPV. And every single investor who's invested in a data center has invested not in the data center itself, but in the potential revenue it brings in. And the problem there is that is dependent on there being 15 or more times the AI compute demand than currently exists. It's genuinely terrifying when you start quantifying it and people are way too flippant about this stuff. They say, oh, it's not as bad. Oh, it's not as bad as the great financial crisis. It's still a great financial crisis that this happens. It's still horrifying and it's everywhere.

You write, quote, much like a subprime mortgage, AI data-centered debt is being poorly underwritten, virtually uncollateralized and issued to projects

that have extremely low likelihoods of repayment, all based on flimsy information and hype-driven mania, end quote. Sounds like a provocative statement, but I actually think it's pretty much factual and correct. I think one thing that isn't in that statement. when we make the comparison with the great financial crisis, is the fact that a lot of that poorly underwritten debt, that virtually un-collateralized debt was obfuscated and hidden away to the point where ratings agencies and investors and traders didn't even know what was happening because it had been so well hidden in the markets. It had been so well kind of complexified. I guess my question to you, Do you think that this is the same situation where investors, ratings agencies, I mean, we know that S&P just downrated Oracle's debt. So clearly they have some semblance of an understanding of what might be going wrong here. But is it your view that this is not being priced in that investors literally don't know what is happening in terms of the debt that is being issued among many of these companies? Let me tell you the tale of private credit.

So private credit in the last few years has gone on a tear, merging with or requiring insurance companies and retirement funds. Apollo bought Athene while they merged with them. Blue Al bought Kuvert. I forget who the others are. Nevertheless, Blackstone's infrastructure fund is funded by retirement funds. The problem is, a lot of the SPVs are funded by private credit. That private part is the lethal part. S&P. doesn't rate private debt. No one does other than the private credit fund. So there was a story in the information a few months ago that said that Blue Owl decided to invest, I think, up to 10 billion in Stargate Abilene after 10 minutes. How much due diligence do you think we can get done in 10 minutes? Probably not very much. This is standard for the SPVs. So, while people will say, oh, well, the ratings agencies failed here, actually no, the SEC failed here. The...

like the insanity of private credit, which is basically a multi-trillion dollar shadow banking system, is what's propping this up. For the most part, the debt raised for these SPVs is coming from private credit. You look at CoreWave, it's coming from private credit. When it comes from the banks, the banks themselves, SMBC and MUFJ out of Japan, They're just funneling the debt straight in. So much of this is coming through institutional investors that are funneling money through private credit, that

the ratings agencies aren't even involved. And the ratings agencies don't. The only reason they did it with Oracle is Oracle has predominantly raised its money via bonds, except for the fact that a lot of their private projects are SPVs. And the SPV raises the debt. And it's this situation where, in theory, Like I think the Michigan data center they're building is a recourse loan, so you can go directly after Oracle. But that's the thing. Even in that situation, there are these legal barriers that, if every data center is exploding, will make it hard to litigate at scale, or at least hard to pull down who's actually responsible.

We don't, like, if you are anything touching an Athene or a Cougar or any other insurance company, it is worth checking where the money's going. I think the Lions actually invested in the Cyrus 1 bond. And the thing is, these bonds get rated somehow, they get rated as junk, but because insurance companies are now effectively run by private credit funds, I don't give a crap. It's like, yeah, sure. Because of this giant lie. And this giant lie is that data centers are the equivalent of investing in power plants and factories, that they're AI factories. When in fact, what you're investing in is a very large, like town-sized building or campus that is full of depreciating GPUs for an industry that has not proven it has the demand. And I mean, my estimate for actual AI compute development is about 100, 120 billion a year.

The, I did the math and it's something like, if they build all 130 gigawatts of IT loads to the actual operational GPUs that they say is in planning based on the site line climate, we will need 1.68 trillion of annual compute revenue just to pay for them all. And they'll have to pay consistently because if you stop paying consistently, the loan covenants with the SPVs break. And the crazy part about this is the global software industry is less than 800 billion. So we're just going to magic up another software industry. And to be clear, what I am saying sounds radical. I think you kind of said this already. It sounds like a scary thing. Oh, it's alarmist. This is just very basic maths. This is Sightline Climate said 190 gigawatts of.

Capacity was being was in planning or under construction PUE of 1.35, which is just the energy efficiency 130 gigawatts 12 million dollars a megawatt. It really if this is simple mass that anyone could do and the thing

is even if I even if it's just half of that We still don't have enough demand and so we're in this weird situation where this risk is now spread everywhere to the point that because it's private We actually do not know how far And it's within the insurance companies. It's different to how AIG collapsed. It's just smaller. It's smaller little bits. But the other problem is is that AI data centers are so expensive. They cost 500 million minimum, probably several billion. So instead of having millions of or hundreds of thousands of subprime mortgages that collapse.

in a kind of slow boil over time, it's going to be a 500 million, a 6 billion, a 2 billion, a 1 billion collapses. And each time one of these happens, that's a massive markdown with a private credit fund, but also a bunch of investors who have lost money and have no recourse beyond, I don't know, selling all the GPUs in a market that will become saturated with them. It's the recourse point that is getting us into such dangerous territory here. I mean, it's one thing to sell equity on a speculative bet about the future, in which case people know what they're buying into, we know what the risks are. It's another thing to finance an extremely speculative business through debt and then to hide that debt because, I mean, if this doesn't work out, we're not just talking about equity going down here, we're talking about bankruptcies, we're talking about defaults.

One other problem, which is the reason that insurance and retirement funds invest in private credit is because they need yield. They need ongoing yields. So if these data centers do not pay out, we have retirement funds and insurance premiums that cannot get paid. And I'm sure they have some buffer. I'm sure they have other assets, but it doesn't have to be an AIG commercial paper level. collapse for this to be systemically damaging. And after this, there is no more yield to be found, I guess, other than treasury bonds, which are going up now, yay, but when they go down, I don't know. But so it really is. And what sucks is most people have no idea about this. Most people don't realize that like the California pension fund is invested in blue out.

Like these are, it's everywhere, and it's not just in America, it's across the board. You've got, I think the Dutch pension funds in data centers, CDPQ, which is the Quebec pension fund. They invested, I think, in a CoreWeave

data center. Like this is everywhere. And I'm furious at the fact that it's so ill, it's so rarely discussed, but also people are so quick to be like, oh, it's not as bad. Oh, it's not as bad. Not as bad is still bad. All right. Well, we're going to have to continue this conversation another time. We're going to have to let you go, but it is fascinating stuff. And I do encourage our listeners to go read your article. It's extremely rigorous and gets a lot of the issues that we're talking about. Ed Zitron is the author of the Where's Your Ed? app newsletter and host of the Better Offline podcast. Ed, always appreciate your time. Thank you. Thanks for having me. After the break.

A breakdown of Tesla and Google's earnings. And for even more market insights, you can subscribe to my weekly newsletter, simplyput at simplyput.prophetymedia.com. Support for the show comes from Apple News Plus. Apple News Plus has everything you're into all in one place. Over 500 publications covering the topics that matter most to you. Thousands of recipes from celebrated food publications around the world. Local news from all 50 states, sports coverage from across the globe, audio stories you can take anywhere, and daily puzzles exclusive to Apple News Plus, all of it curated just for you. New subscribers try it free for one month at news.apple.learn. Terms apply. Running a business shouldn't feel like surviving a software group project. One app for accounting, another for inventory, another for sales, and somehow, none of them talk to each other. That's where Auto comes in.

An all-in-one business management software that brings every part of your business together. From sales and accounting to inventory and marketing, all-in-one powerful platform. No messy integrations, no bouncing between tabs, and best of all, no spreadsheets. Stop managing software and start managing your business with one unified system. Try for free today at odoo.com slash vox. That's odoo.com slash vox. Wow, I'm so glad I took calculus in high school and not personal finance. Said nobody ever. Figuring it all out for yourself when you're fresh out of school can not only be daunting, it can literally cost you. I'm Vivian Tu, your HBFF, and on this episode of Net Worth and Chill, we're rewinding a decade to when I was first out of college and learning to care for my own finances the hard way, with plenty of slip-ups and face plants.

But since I already made those mistakes, I get to share them with you so you don't have to. If you want to swerve all of the potholes I fell into, give the episode a listen wherever you get your podcasts or watch on YouTube.com slash your rich BFF. We're back with Prof. G Markets. Tesla just reported earnings and Wall Street was disappointed. Ahead of earnings, Tesla had reported impressive delivery numbers for the quarter, up 25% year over year. That gave investors the impression that Tesla's worst quarters were behind it. This time last year, the company was reporting a 13% decrease in deliveries, but the company's second quarter earnings told a different story. While revenue beat analyst expectations up about 26% year over year, profits fell 5% over the same period, and the quarter's free cash flow came in about 1.1 billion in the red. The stock fell more than 3% after hours and is now down roughly 25% from its peak. So here to break down Tesla's quarter, we are speaking with Karim Buster, co-founder and managing partner at DVX Ventures and former vice president at both Tesla and Lyft. Karim, thank you for joining us. The interesting story here you got Decent delivery numbers, especially compared to last year, revenue was up, but profits down. What went wrong here on the bottom line? I think what we're saying with this published result should not come as a surprise for anyone who's been understanding and following what's been going on with Tesla for the past, I'd say, 18 to 24 months.

Essentially, what's been happening, we've seen declining sales for several quarters in a row. But more importantly, we've seen declining market shares. And even in this quarter where, for the first time in a few quarters, Tesla has been able to report increasing sales number, you have to look at this in the context of a growing EV market where the market overall has been growing faster than the sales number that Tesla has been reporting. So that's one factor. which confirms what we've been seeing for the past few years, which is Tesla has a fundamental issue on the automotive side, which is essentially the vehicle lineup, the product lineup is becoming old. It has not been able to renew it. There's been a refresh of the Model Y last year, but it's still based on the same platform that launched almost 10 years ago now with the Model 3 and then the Model Y.

So, there hasn't been real innovation, both from the product side and technology side, that would have allowed for the company to catch up on

the market share losses that they've been seeing, and at the same time, continue improving the margins. It's actually been the opposite. The margins have been eroding, we're seeing it in the results that have been reported this quarter. So all this comes down to the lack of innovation and new products and fundamental platform launches that we haven't seen for the past few years. And that's in the context of a competition that has been increasing with all competitors catching up to where Tesla was even six or seven years ago and creating great products with better margins.

better production systems than what Tesla has been able to accomplish. So all this to say, I'm not surprised by these results. It's all coming down to what we've been seeing in the past few quarters and everything is coming into place when you look at the lack of innovation and new breakthrough products on the product line-up side. The Tesla Bulls will say, what about the robot taxi? They will say, what about Optimus, which is the humanoid robot? What would you say to those people? Are you convinced by those products? And do you think that that is going to work for the company if the existing product being the car itself is deteriorating as a business? That's indeed the bet that Elon and and Tesla bulls are making, that there is going to be an evolution, a transformation of the company that is going to evolve from an EV car manufacturer to a robot taxi robotics company, AI driven company. And that's a great strategy and a great vision. Now you have to look at the fundamentals of, OK, what are these products going to look like?

If you take Optimus, the humanoid robot, for example, there are a number of questions that people should ask. What is really this product? What problem is it addressing? What market does it really have? Where is the demand going to come from? And even assuming that you solve these questions and these problems, then there's the other question that That is, are you going to be able to make this product? It's a brand new product, brand new supply chain, brand new design. There's no history at Tesla. There's no experience building such a product. track record of being able to ramp a supply chain and a production system at that level, the level of complexity that is required and the quality and the cost, etc. So when you look at these new lines of business that Elon is betting the future of Tesla on, you look like a dozen fundamental questions that need to be answered.

positively with the ability of the company to address and solve all of them. So a lot of question marks in my opinion with regards to these new lines of business that are supposed to be the next wave of growth for the company. I mean, the stock is down 15% yesterday. It's down almost 25% from its peak. But still it's a 1.4 trillion company. It's trading at nearly 350 times earnings. Is all of that optimism still based in expectations around the humanoid robot and the robotaxi? And if so, is it too optimistic of people putting too much faith in this idea that all of those questions are going to be answered well by the company? So I will add one more challenge that Tesla has to overcome that is often underestimated or that we rarely talk about. If you look at what has made Tesla successful in the past, and the same applies to SpaceX, by the way. So there's fundamentally this Elon's vision, Elon's aspirational vision, the way he puts the vision into a strategy. But then to make the strategy actionable and to execute the strategy, Tesla's success came from the talent and the hard work of hundreds, thousands of highly talented people. And these people used to come to Tesla.

and help Elon work, and that was one of them a few years ago, attracted by the magnitude of the challenge, by the boldness of the ambition, and also by the fact that some of these problems were extremely hard to solve, and that's what typically attracts talented people and ambitious people. They want to work on the hardest problems. So being able to attract these kinds of people has been fundamental in Tesla's successes in the past. exactly the same thing at SpaceX. Now, the difference compared to five years ago, eight years ago, where Tesla had to solve incredible problems and challenges is that by now, most of these people are gone. They're working on other things. They're still innovating and solving hard problems, but they're doing it somewhere else, not at Tesla anymore. I know that really well because with my team, we're all ex-Tesla.

people, we launched a company creation platform, we launched 17 companies in the past few years. And there are literally hundreds of these people that are now using, applying their talents in other places. So the question, one of the questions that I'm still asking about Tesla now is, now that all these people that made the success of Tesla possible in the past, that they no longer they're helping Elon solve these problems. How is the company going to do that? If you look at the robot taxi business, for

example, the company has to solve the autonomous driving, which is the first priority. But even if they are able to do that and catch up to the levels of service and safety that Waymo, for example, has achieved, Then they have to create a business out of this. And creating a business, a robot taxi, a ride hailing business is something that took Lyft and Uber, a DK, to figure out how to position the car so there's always availability, how to maximize the revenue utilization per dollar invested. All these things that Tesla is going to have to figure out. So a large number of questions and challenges to overcome. And there's this thing about the talent pool that has made Tesla successful in the past that has not been replaced. We all know about the exodus and all these brilliant people that have less in the past few years. That's what gets me a bit concerned. And at the same time, we've seen over and over again that Elon has been able to figure out a way to overcome these issues and come up with new solutions. So that's why it's hard for me to answer like one way or the other. But I'm just looking at the number of challenges that they have to solve.

And in the end, at some point running out of time, just because the competition is very active and progressing and moving very fast, Waymo is moving much faster and growing much faster than Tesla is at this point. So Tesla is going to have a massive catch up to do. And even on robotics, this tens and if not hundreds of companies that are actively working on it, making the competition and the space really hard to win it. All right, Karim Buster, co-founder and managing partner at DVX Ventures and former vice president at Tesla and Lyft. Karim, we really appreciate your time. Thank you. Thanks for having me. Google just delivered another Blockbuster earnings report. Revenue jumped 24% year over year to nearly 120 billion. That was fueled by explosive growth in cloud revenue, which surged 82% from a year ago. Net income quadrupled to 112 billion. And Gemini saw monthly active users grow to 950 million up 27% from February. But...

Google's AI push is coming at a cost. The company is spending so aggressively that free cash flow swung into negative territory for the first time ever, ending the quarter at negative 5.9 billion, and CapEx guidance for 2026 was raised to 205 billion up from 190 billion reported in April. The stock dropped more than 4% during the earnings call. Joining us to discuss Google's earnings. We're speaking with Scott Devitt, Senior

Research Analyst at Rosenblatt Securities. Scott, good to see you. Thank you for joining us. This was pretty good on the revenue side. Not just cloud, I would add. I mean, search revenue also growing pretty substantially up 17%. I'm always kind of amazed how that number keeps going up. But it seems like that was all overshadowed by the amount that they're spending.

on AI and the negative free cash flow, that seems like a big deal. What do you make of it? You have the stock reactions, and then you have what's happening in the business. With Alphabet, it's been such a substantial move in the stock over the past 12 to 18 months that some of this is just the digestion of this reality of how good the business is doing right now. If you look at In a search business, you mentioned up 17%. That business was thought to be left for dead 12, 18 months ago because of AI. And on that base that the company has to be growing that 17%, also be growing UTB 13%, building out way most capabilities. This company is rearchitecturing their entire business as they have this exploding.

cloud business that's attached to the company now as well. The cloud business was up 82%. The major nit, I think, is the fact that, as you mentioned, free cash flow flip negative, they're going to need more capital to grow the business. But when you get to the other side of this investment cycle, Alphabet's going to have rebuilt the entire company and have a multi-hundred billion dollar cloud business on top of it. When they go into harvest mode, I think the stock you know, starts to show much stronger returns after it digests this kind of weird window of time of this kind of recovery period the last 18 months. And now the reality, you know, setting in that's going to be expensive to build what they're doing. Just looking at, you know, YouTube search, I mean, their traditional businesses, their bread and butter, there is no question that they continue to excel. But just from my personal perspective, it does seem concerning how aggressive they are getting with the AI spending, with the data center building. And there was some news that we were just digesting earlier, which I wanted to get your reaction to. This was some reporting from Nikkei Asia, where they found that there is a lot of debt that isn't being reported by some of the tech companies like Google, Meta, Microsoft, Amazon, Oracle, that they are taking a lot of their debt and issuing it through SPVs, which is basically off balance sheet debt. And to be clear, like there's not a lot of clarity into any

of this, but I'm wondering if you consider that to be a concern for these big tech companies, the amount of debt that they're seeming to be more interested in issuing at this point. And then also the possibility that there's a lot of this happening off the balance sheet.

And the question is that raises the sustainability of how much they're spending. So less concerned about the efforts of Alphabet and Amazon and Microsoft in that area. But some of the newer entrants that are being more aggressive with financing, I think that the smart companies for a period of time can only operate as well as they're less smart. competitors in terms of the way that they structure the growth of this. And so I think the risk is just the proliferation of competitors and some less disciplined than others that that has the risk to drag down. even those players that are disciplined, which I put alphabet in that basket as well as Amazon and Microsoft and Meta. But there's a lot more companies providing these services now and some like Meta that never provided cloud-based services before that are now getting into the business. So from that standpoint, it's definitely worth monitoring. There's a possibility that you get to the point where this build-out goes too fast.

And that lack of discipline ends up getting paid for by the great companies as well. And that's something we pay a lot of attention to. I will say with Alphabet here, I think they're doing everything that they need to do as a company to be well positioned in this AI world, where when you re-architect the entire company through this process, you're you're limiting the number of competitors that are going to exist in the world in the next 3, 5, 10 years. So when we get to the inevitable other side of this, there's just going to be less competition. If you're a small company competing in advertising and content and otherwise, there's almost zero chance you can compete with these companies with the amount of money that's being spent. Just on the cloud revenue that grew 82%, I mean, 25 billion, huge, huge numbers. Do we know much about who those customers are. And I ask that because one thing that I've been trying to monitor is how much of the revenue is coming from an open AI and an anthropic. And I get essentially how reliant these companies are on a small subset of companies. Do we know much about the diversification of that revenue? It's concentrated. And those are two key components of it. I would say in addition with Alphabet

now, you have the selling of the TPUs to third parties that's beginning to show up in revenue as well. So I don't want to say it gets polluted because that's not a bad thing, but that's a driver of incremental growth and somewhat of a contributor to the acceleration. But the company did say that the cloud business accelerated even without that. And that's also going to be a big driver of the business in coming years. I mean, this is now on kind of a run rate.

path if you look at the current quarter plus the rate of growth of about 100 billion business this year. And then if you look at their backlog that they have as a company, like the baseline for the next two years is north of 150 billion. So there's so much growth here. If one player falters, then that can have an effect. But if one player falters and the demand for AI stays constant, then it will be manageable. Well, we may be seeing one if someone that's in a leadership position now that that changes. And two, if demand for AI holds up otherwise, I think those are topics that ebb and flow in the day-to-day media as well. All right. Scott Deavitt, Senior Research Analyst at Rosenblatt Security. Scott, we really appreciate you joining us. Thank you. Thank you.

Okay, that is it for today. Tune in tomorrow for our conversation with Noah Smith. We discussed the AI bubble, the rise of inequality in America, the fertility crisis, the national debt, and lots, lots more. Don't miss it. This episode was produced by Claire Miller and Alison Weiss and engineered by Benjamin Spencer. Our video editor is Brad Williams. Our research team is Dan Shalon, Chris Nodonahue, and Mia Silverio and our social producer is Jake McPherson. Thank you for listening to Prodigy Markets and Prodigy Media. If you liked what you heard, give us a follow. I'm Ed Elson. I'll see you tomorrow. Running a business shouldn't feel like surviving a software group project. One app for accounting, another for inventory, another for sales, and somehow, none of them talk to each other. That's where Auto comes in. An all-in-one business management software that brings every part of your business together. From sales and accounting to inventory and marketing, all in one powerful platform.

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